

The first account is the one with the debit card and all other banking facilities. This account will typically hold large amounts only when we receive income. It will have one large transaction every month (when money is shifted to the other account) and various small transactions (relating to expenses). On the other hand, the financial plan account will only have one major income and a few investment transactions.

We will have to be wary of missing the two accounts as this will create a lot of confusion and reduce the differentiation between expenses and investments. The financial plan account should be clean and only have transactions related to insurance and investments. This account will always hold larger balances, will be linked to our trading and broker accounts and therefore, we will not share the details of this account with anyone, not link this account to digital wallets, smart cards, and other unnecessary services, thus reducing its exposure to cybercrimes.

All the dividends and interest should be received in the financial plan account. Also, note that the flow of money from income and expenses account to financial plan will be a one-way flow i.e. money will not come back to income and expenses account, unless and until we have a major financial goal coming up or we live off our assets, i.e. during retirement. All other accounts that we might have i.e. business accounts, family member accounts etc. are all other than these two accounts.

This process might sound simple, but it requires people to get organized and change their financial habits. It will take us a few months to adopt this, but it is completely worth it.



INCOME AND EXPENSE ACCOUNT



FINANCIAL PLAN ACCOUNT